Stabilise · Save · Invest · Grow

RESTRICTED

How to optimise Indonesia's natural-resource wealth, fund Danantara's Rp 5,396 T pipeline natural-resources first, and reach high growth.

1 How the work unfolded

Each step built on the one before

25–27 SEP
Stabilise and Save
Exports 2000–2025; lessons from Chile, Norway, Kuwait, Timor-Leste.

Paper 1 · briefing

29 SEP
DDMF pipeline
RKAP 2026 tested; aggressive option: spend savings where multipliers justify it.

Policy Note 2

1–5 OCT
Sovereignty and clusters
Sovereignty tier ≤20%; GDP, jobs, imports by cluster.

Integrated paper

8 OCT
The road to 8%
Growth bridge, three scenarios, recommended path; jobs per project.

Paper 70 pp · decks 40

16 OCT
October data update
Sea wall Rp 1,200 T; defence Rp 2,125 T; data centre, quantum, chips, AI and IT.

Pipeline Rp 5,396 T

16 OCT
Three clusters, resources first
Industry · Technology · Finance; natural resources fund 54% of the pipeline.

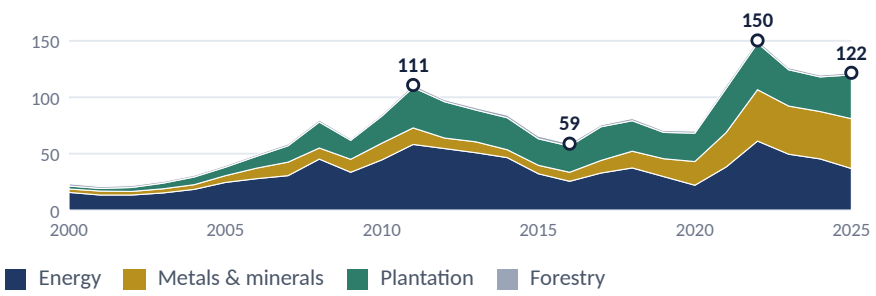
Paper v3 · deck · infographic

2 What we have: large, volatile, depleting

US$122 bn
resource exports in 2025, 8.4% of GDP

5×
growth since 2000 (US$23 bn)

8
boom-and-bust phases since 2000



Resource exports by industry, US$ bn. Metals rose from 13% to 36% of the total after the ore export bans; energy fell from 67% to 30%. Source: UN Comtrade, CEPII BACI.

3 One fund, three windows

Natural-resource PNBP (≈ Rp 229–250 T a year) — **30–40% saved by rule**

STABILISE
Reserve window
- Chile-style reference price
- Saves windfalls, covers shortfalls
- Steadies the budget and rupiah

SAVE
Future window
- Norway-style, invested abroad
- 3% real draw to the budget
- Wealth for future generations

INVEST
Development window
- Executed by DDMF under a mandate
- 2027–34: save 40%, 80% to development
- Sovereignty tier ≤20%; sunset 2038

Governance: one Law; the Ministry of Finance owns the fund; six tests every project must pass before money moves.

4 Making it sustainable: the pipeline in three clusters

Rp 5,396 T · Industry 91% · Technology 9% · Finance holds the fund · October 2026 update



CLUSTER	INVEST. RP T	PEAK GDP %	LASTING RP T/YR	JOB-YRS M	LASTING JOBS K	IMPORTS US$ BN
Industry	4,914	1.94	396	23.1	1,190	110.9
Technology	480	0.25	68	2.4	212	13.2
Finance	1	0.00	0	0.0	0	0.0
Total	**5,396**	**2.20**	**464**	**25.5**	**1,403**	**124.1**

+2.2%
GDP level at the 2031 peak

+0.61 pp
added growth a year, 2027–30

+0.9%
GDP permanently (Rp 464 T a year)

4.0 m
jobs at the 2029 peak; unemployment 4.7% → ~3.7%; 1.4 m lasting

Funded natural-resources first: 54% of the Rp 4,881 T needed in 2027–34 comes from resource cash and resource-backed debt, 74% with partners; the budget gives up ~Rp 111 T a year. **Watch** the 2032 drop (−0.8 pp) and defence imports (US$72 bn at 40% domestic content).

5 Reaching high growth: the road to 8%

Growth = investment ratio ÷ ICOR

Growth bridge for 2029, real GDP growth %



6.37% · resource levers + pipeline | 6.90% · with better efficiency | 1.10 pp · gap: needs ICOR ≈ 4.3

Illustrative; BPS, BKPM, IMF data; author's model.

	S1 · Efficiency first	S2 · Big push	S3 · Industrial leap
Investment, % GDP	31.5	38.5	34.5
ICOR	3.95	4.8	4.3
Growth 26→29	5.3 → 8.0	6.3 → 8.0	5.5 → 8.0
Hardest	ICOR 3.95 in 4 years	Investment +15%/yr	Manufacturing +11.5%/yr
Current acct	−1.3%	−3.8%	−1.8%
Main risk	Reform politics	Balance of payments	Global markets

Recommended path: S3 with the reforms of S1. Investment of about 33.5% of GDP with an ICOR of about 4.2 gives 8% (33.5 ÷ 4.2). The pipeline already lifts investment to ~32.5% of GDP, so efficiency is now the constraint. Indonesia grew 7–8% in the mid-1990s with investment near 30% of GDP. Hold it with a successor pipeline after 2029.

6 Design · Execute · Monitor · Mitigate

How the path is kept on course

Design
- One Law, three windows
- Six-test gate for every project
- ICOR and local content as targets

Execute
- 2026–27: mining, the Law, reforms
- 2027–29: build; SMEs via DOCK-UP
- 2029–32: successor pipeline

Monitor
- Quarterly dashboard: growth, ICOR
- Current account, logistics, inflation
- 2028 mid-term review; 2038 sunset

Mitigate
- Deficit > 2.5% of GDP → slow drawdowns
- ICOR > 5 in 2028 → freeze projects
- Defence content 60%; settle 12 open points